

Amazon.com, Inc.
 AMZN NASDAQ

Buy \$243.78 ▼ 1.52% 12M Price Target \$285.00 52-Week Range \$196.00 – \$278.56

Market Cap
 \$2.62T

AMZN: Ad Growth Story Intact, But Big Tech AI Spend Scrutiny Weighs

WHAT HAPPENED

- AMZN down 1.5% on almost no volume (6.6M vs the usual 40M+) — that's not real selling, that's the tape drifting ahead of Alphabet earnings tonight. The whole market is holding its breath because GOOGL's report will set the tone for how investors feel about the billions Big Tech is spending on AI ("capex" = capital expenditures, the money spent on data centers, chips, etc.).
- Amazon expanded its "location interactive video ads" — small news item, but it matters because ads are Amazon's highest-margin business (think 70%+ margins vs ~5% for retail). Every ad dollar is worth roughly 10x a retail dollar to the bottom line.

WHY IT MATTERS

Here's what the light volume and small drop are really telling us: nobody wants to make a big bet before Alphabet reports tonight. If GOOGL shows that all this AI spending is actually generating revenue, AMZN rips higher tomorrow because it validates the AWS AI story. If GOOGL disappoints and Wall Street decides Big Tech is overspending, AMZN gets dragged down with it — even though AWS is arguably better positioned. The options market is telling us traders are leaning bullish (put/call ratio of 0.50 means twice as many bullish bets as bearish ones), and someone just dropped ~\$8M on deep-in-the-money July \$195 calls — that's a sophisticated player who thinks near-term downside is limited.

POLICY & POLITICAL WATCH

Two things to watch: First, the FTC's antitrust case against Amazon is grinding through the courts — a ruling or settlement could come in the next 6-12 months, and while a forced breakup is unlikely, any structural remedy (like separating AWS or the ads business) would actually unlock value, not destroy it. Second, the ongoing debate in Congress over AI infrastructure permitting reform matters a lot — if data center permitting gets streamlined (there's bipartisan momentum here because everyone wants to beat China on AI), AWS can build capacity faster and capture more of the \$200B+ AI cloud market. Tariff risk on Chinese imports is a chronic headwind for the retail side, but Amazon has been diversifying suppliers for years, so it's a slow bleed rather than a sudden shock.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$243.78
12M Price Target	\$285.00
Upside / (Downside)	+16.9%
Market Cap	\$2.62T
FY2026E Revenue	\$730M
FY2027E Revenue	\$805M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	35.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$265.00	\$250.00	\$232.00
6 Months	\$295.00	\$270.00	\$225.00
1 Year	\$320.00	\$285.00	\$215.00
2 Years	\$380.00	\$325.00	\$220.00
5 Years	\$550.00	\$425.00	\$250.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+1.8%) and Energy (+1.7%) — this is a "defensive rotation" pattern, meaning money is moving into safer, cash-flow-heavy sectors ahead of a big tech earnings week. Utilities are also an AI play now because data centers consume massive power.

COOLING OFF: Tech is quietly underperforming today — not crashing, just pausing. Investors are de-risking before Alphabet reports.

ROTATION WATCH: Money is temporarily parking in Utilities/Energy while tech investors wait for AI capex clarity. This is tactical, not structural — if GOOGL prints well tonight, that money floods back into mega-cap tech within 48 hours.

RELATED PLAY: If you like the AWS AI thesis but want the "picks and shovels" angle, look at data center REITs (EQIX, DLR) or the power companies feeding those data centers (VST, CEG) — they benefit whether AWS, Azure, or Google Cloud wins.

WHO'S WINNING IN THIS SPACE?

- XLE (Energy ETF): Winning on defensive rotation + oil price stability — investors want cash flow while they wait on tech.
- XLU (Utilities ETF): The AI power-demand story is real — data centers need electricity, and utilities are the unglamorous winner.

AMZN CONTEXT: AMZN is lagging today, but only because it's caught in the "wait for Alphabet" holding pattern along with the rest of mega-cap tech. It's trading at 58% of its 52-week range — not overheated, not oversold. That's actually a decent setup: if GOOGL prints well, AMZN has room to run without looking stretched.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$235-240 on tech pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth drops below 15% YoY or FTC breakup case gains real traction

Hedging: Small QQQ puts or paired short vs GOOGL if you're worried about Big Tech AI capex backlash